

Analyzing Business Markets

Marketing Management, 13th ed

Chapter Questions

- What is the business market, and how does it differ from the consumer market?
- What buying situations do organizational buyers face?
- Who participates in the business-to-business buying process?

Chapter Questions

- How do business buyers make their decisions?
- How can companies build strong relationships with business customers?
- How do institutional buyers and government agencies do their buying?



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What is Organizational Buying?

Organizational buying refers to the decision-making process by which formal organizations establish the need for purchased products and services, and identify, evaluate, and choose among alternative brands and suppliers.

Top Business Marketing Challenges

- Expand understanding of customer needs
- Compete globally as China and India reshape markets
- Master analytical tools and improve quantitative skills
- Reinstate innovation as an engine of growth
- Create new organizational models and linkages

Characteristics of Business Markets

- Fewer, larger buyers
- Close supplier-customer relationships
- Professional purchasing
- Many buying influences
- Multiple sales calls
- Derived demand
- Inelastic demand
- Fluctuating demand
- Geographically concentrated buyers
- Direct purchasing

Buying Situation

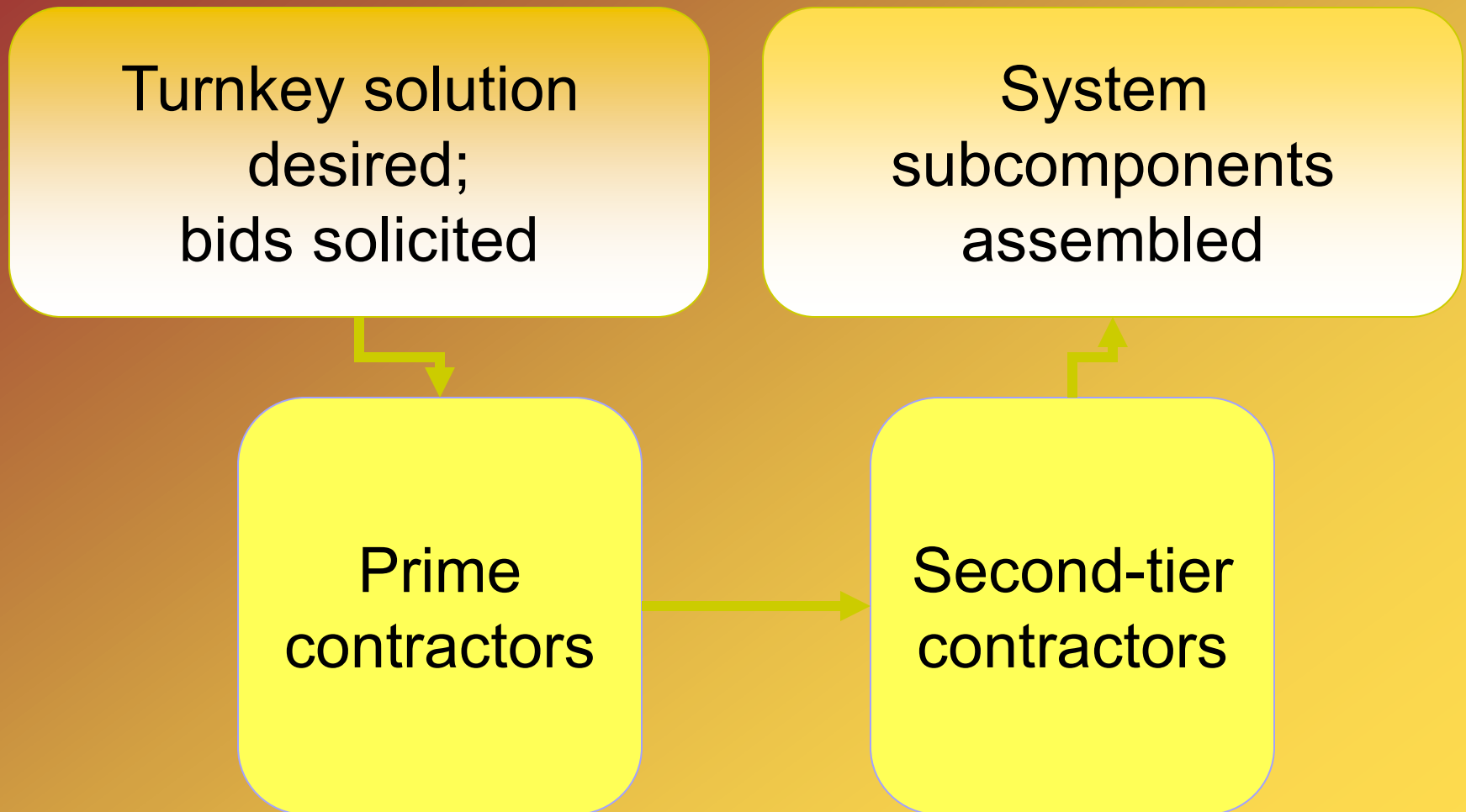
Straight rebuy

Modified rebuy

New task



Systems Buying and Selling



The Buying Center

Initiators

Users

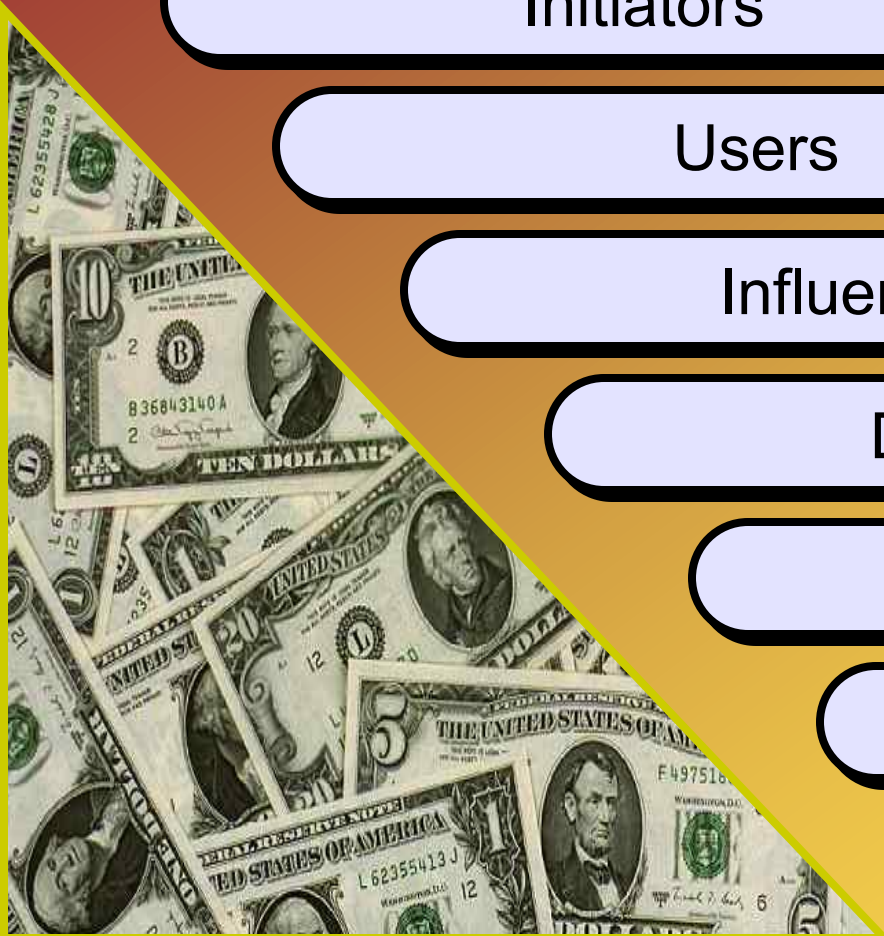
Influencers

Deciders

Approvers

Buyers

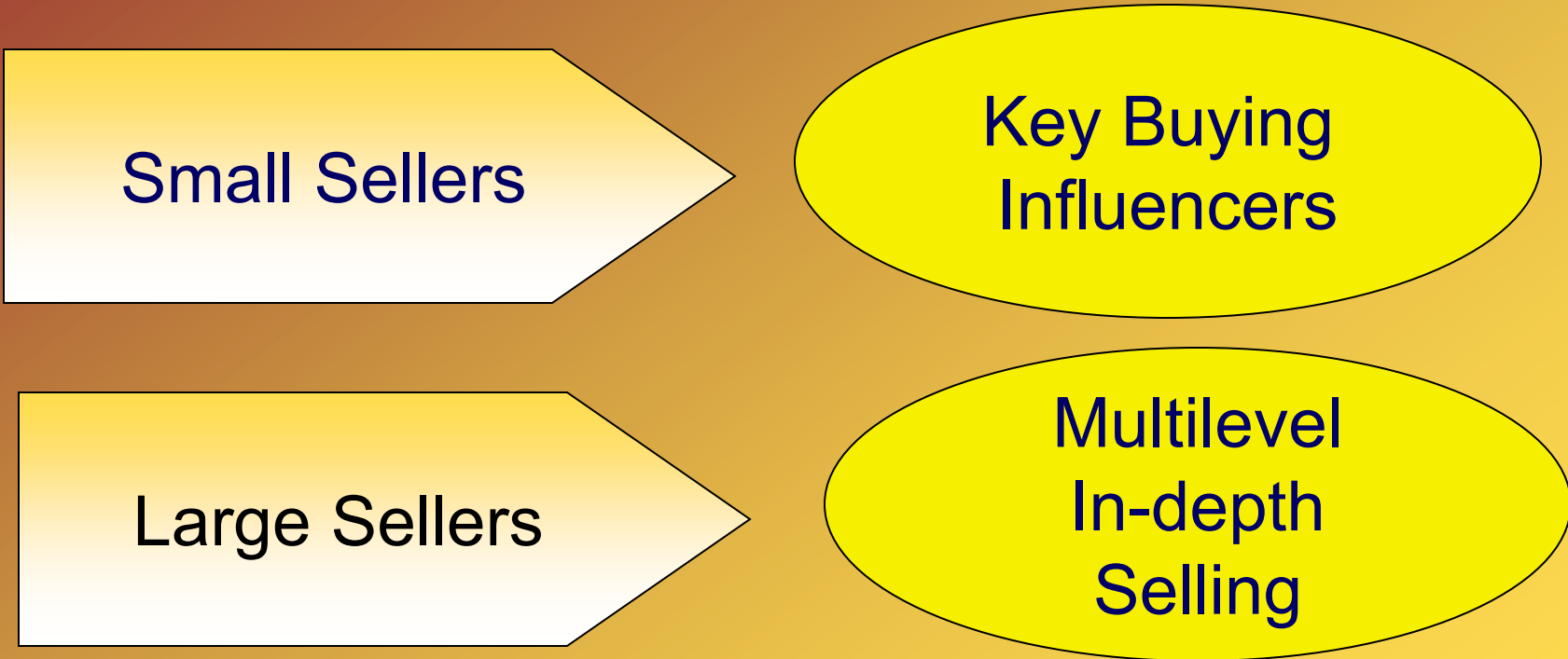
Gatekeepers



Of Concern to Business Marketers

- Who are the major decision participants?
- What decisions do they influence?
- What is their level of influence?
- What evaluation criteria do they use?

Sales Strategies



The diagram consists of two rows. The top row features a yellow arrow pointing right towards a yellow oval. The bottom row features a yellow arrow pointing right towards another yellow oval. The background is a gradient from dark red at the top to yellow at the bottom.

Small Sellers

Key Buying
Influencers

Large Sellers

Multilevel
In-depth
Selling

Stages in the Buying Process: Buyphases

- Problem recognition
- General need description
- Product specification
- Supplier search
- Proposal solicitation
- Supplier selection
- Order-routine specification
- Performance review

Table 7.2 Buygrid Framework

		Buyclasses		
		New Task	Modified Rebuy	Straight Rebuy
BUYPHASES	1. Problem recognition	Yes	Maybe	No
	2. General need description	Yes	Maybe	No
	3. Product specification	Yes	Yes	Yes
	4. Supplier search	Yes	Maybe	No
	5. Proposal solicitation	Yes	Maybe	No
	6. Supplier selection	Yes	Maybe	No
	7. Order-routine specification	Yes	Maybe	No
	8. Performance review	Yes	Yes	Yes

Forms of Electronic Marketplaces



- Catalog sites
- Vertical markets
- Pure play auction sites
 - Spot markets
- Private exchanges
 - Barter markets
 - Buying alliances

Methods of e-Procurement

- Websites organized using vertical hubs
- Websites organized using functional hubs
- Direct extranet links to major suppliers
- Buying alliances
- Company buying sites

Table 7.3 Vendor Analysis

Attributes		Rating Scale			
	Importance Weights	Poor (1)	Fair (2)	Good (3)	Excellent (4)
Price	.30				x
Supplier reputation	.20			x	
Product reliability	.30				x
Service reliability	.10		x		
Supplier flexibility	.10			x	
Total score: $.30(4) + .20(3) + .30(4) + .10(2) + .10(3) = 3.5$					

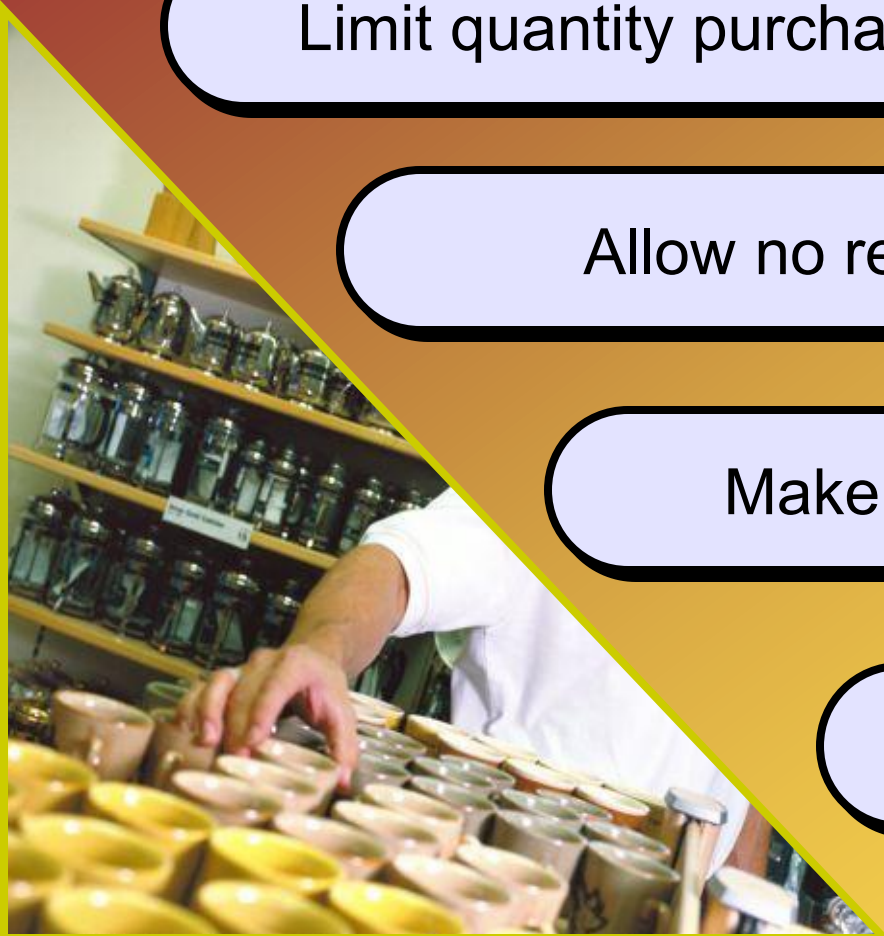
Handling Price-Oriented Customers

Limit quantity purchased

Allow no refunds

Make no adjustments

Provide no services



Methods for Researching Customer Value

- Internal engineering assessment
- Field value-in-use assessment
- Focus-group value assessment
- Direct survey questions
- Conjoint analysis
- Benchmarks
- Compositional approach
- Importance ratings

Order Routine Specification

Stockless
purchase plans

Vendor-managed
inventory

Continuous
replenishment



Establishing Corporate Trust and Credibility

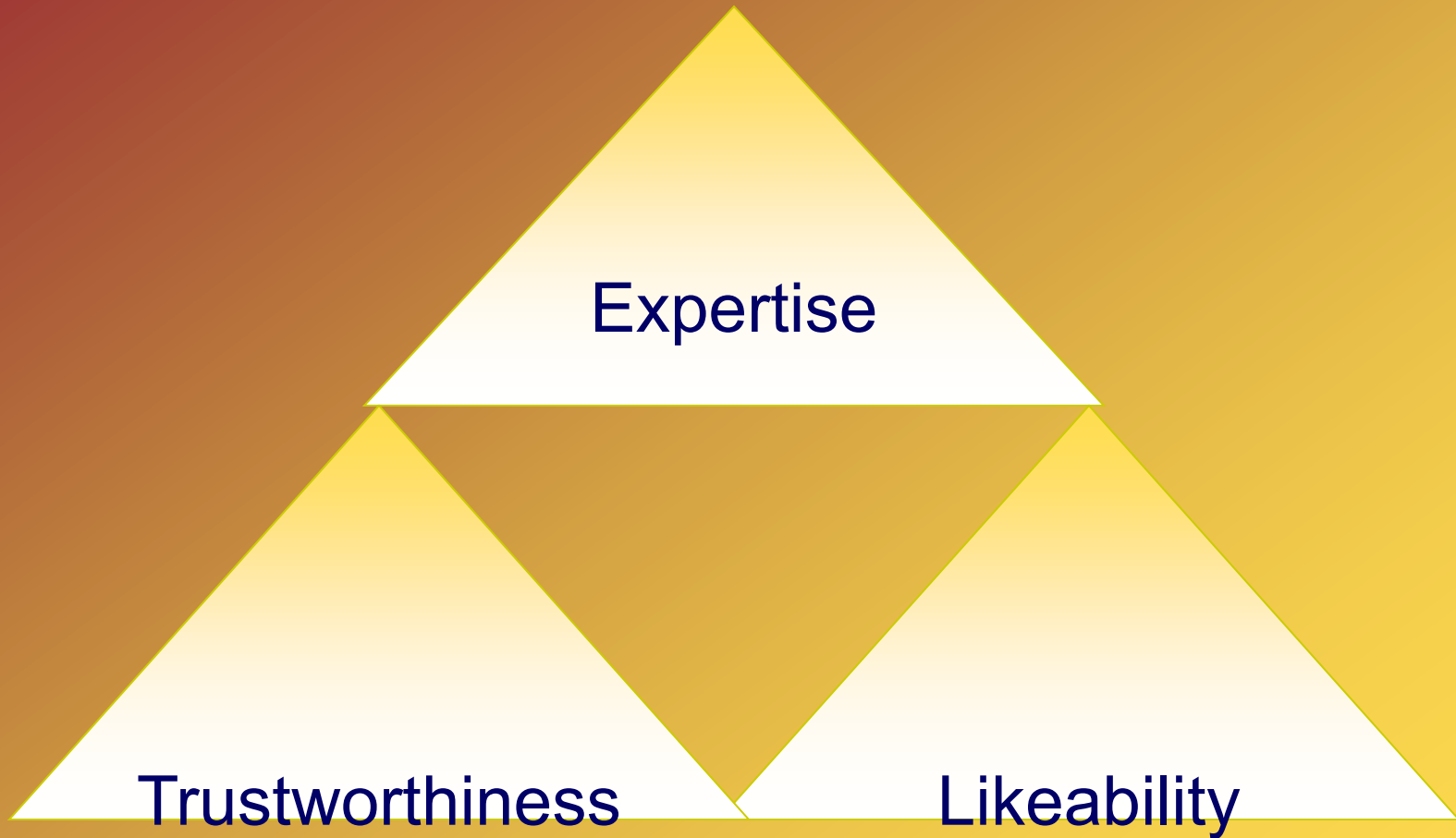


Figure 7.1 Trust Dimensions

Transparent

Cooperating
Design

Product/Service
Quality

Product
Comparison

Incentive

Supply Chain

Partnering

Pervasive
Advocacy

Factors Affecting Buyer-Supplier Relationships

Availability of
alternatives

Importance of
supply

Complexity of
supply

Supply market
dynamism

Categories of Buyer-Seller Relationships

- Basic buying and selling
- Bare bones
- Contractual transaction
- Customer supply
- Cooperative systems
- Collaborative
- Mutually adaptive
- Customer is king

What is Opportunism?

Opportunism is some form of cheating or undersupply relative to an implicit or explicit contract.

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Marketing Debate

✓ how different is B-to-B marketing?

Take a position:

1. Business-to-business marketing requires a special, unique set of marketing concepts and principles.

or

2. Business-to-business marketing is really not that different and the basic marketing principles apply.

Marketing Discussion

- ✓ Consider some of the consumer behavior topics from Chapter 6.
- ✓ How might you apply them to business-to-business settings?